

Did you get any accounts?

No, I didn't get any.

Were you getting frustrated?

Yes, I didn't like it at all. After about two months, I started writing research on my own. I covered companies that were not well followed on Wall Street, which gave us greater access to managers in the large mutual fund companies. Our focus was on value. Both Hoefer and Arnett taught me to look at companies from the perspective of what would a rational businessman pay for the company if he was writing a check today. One interesting aspect of the business for me was that unlike the large brokerage firms that had a salesman between the analysts and clients, we wrote and sold our own research. This structure gave me the opportunity to meet with some of the major mutual fund managers, such as John Templeton, Chuck Royce, and Bob Rodriguez, who were clients.

I guess these funds directed commission business to you in exchange for the research ideas.

Exactly.

Did you learn anything from these clients?

By coincidence, I was in New York at the time of the 1987 crash. In doing my manager visits on that day, I saw three very different responses to the crash. Some guys, when I walked into their office, they were almost catatonic. All they could do was stare at the screen, watching the market evaporate in front of them. They couldn't buy, and they couldn't sell. They would apologize for not being able to take the meeting, and I completely understood. I saw other clients who were selling in panic mode. Then I saw Chuck Royce who took our meeting as if nothing were happening. He sat in an office that had a glass screen divider between him and his trading desk. Each time I finished discussing an idea, he would slide the glass window open and tell one of his traders to buy 50,000 shares. He wasn't afraid to keep buying. The way he responded taught me that you have to stay focused on the value of a business and see past exogenous crises events. Stocks get cheaper than fair value. It